

TED spread often occur during steep equity market declines. In this sense, a long TED spread is a bearish position.

In contrast, corporate and bank credit spreads were priced to stay wide in the forward market. So we rotated out of our short credit trades into TED spreads because the risk/reward was much better. During the second quarter of 2008, both corporate credit spreads and TED spreads narrowed. The TED spread, however, had been priced to narrow in the forward market, so the trade was near breakeven. If we had stayed with the short corporate credit positions during the second quarter of 2008, we would have lost a lot of money. The trade we had switched into to express our negative long-term view didn't have much downside. So when everybody got optimistic again in the second quarter of 2008, our bearish position [the TED spread] didn't change that much.

What about the second half of 2008, which was when markets collapsed?

If you started with the premise that there was a solvency issue, then everything that happened was straightforward. To begin, the banking system was underwater. Therefore, there was no reason for anyone to lend them money, unless the government was going to step in with more capital. The politics in Washington at the time, however, was for no more bailouts. [Treasury Secretary] Paulson had made multiple statements in which he was very clear that there would be no government bailout of Lehman. Once you know that Lehman has negative value and the government is not coming to the rescue, that means they're bankrupt. There isn't anything else that can happen. There is no sophisticated analysis involved. The odd thing is that Lehman going under was not a surprise. Most people knew it was going to happen, but they failed to understand what it meant.

So what were you doing at the time?

The main thing was to make sure our business was as safe as possible. We avoided counterparty exposure to Lehman. We simplified the book. We reduced leverage a lot during 2008. We restricted our trading to highly liquid positions, which meant avoiding OTC trades with lots of